of civilization. This requires far-reaching work in rethinking laws, police, prisons, public prosecutors and courts. We have major new dimensions of health crises emanating from air quality, road safety, antibiotic resistance and substandard medicines. All these areas require subtle understanding of market failures, and commensurate state interventions. The competition perspective is required all across the working of economic policy, to address the problem of market power.

Numerous elements of state coercion present in India lack justification, insofar as there is no market failure that can justify the use of state power. Why does the state control the time at which a stock exchange opens and closes, or the objects that it trades in? Why does the state seek to imprison a farmer if her produce is not sold at a physical market specified by the state? Why does the state plan to put young people into jail if they trade in crypto-currencies? Why is the state forcing corporations to spend 2 per cent of their profit on good works? The list of erroneous interventions runs into thousands. India will obtain great progress by identifying and removing these interventions into the working of the economy.

Summing up

When faced with a potential government intervention, it is useful to ask three key questions. Is there a market failure? Does the proposed intervention address the identified market failure? Do we have the ability to implement the proposed intervention?

A disciplined approach of carefully walking through these three steps will result in improved economic policy thinking. It adds up to a powerful and non-trivial toolkit for thinking about the world.

There are four classes of errors in Indian public policy that call for reform: (a) Situations where freedom works well, where the right thing for the government is to do nothing but the government is doing something; (b) A market failure is present, but the politics pointed state power in the wrong direction; (c) A market failure is present, the politics worked out right, but